READING PASSAGE 2

*You should spend about 20 minutes on **Questions 14–26**, which are based on Reading Passage 2 below.*

The Clustering of Modern IT Industries

Over a century ago, economist Alfred Marshall observed that when skilled industries concentrate in one place, "if one man starts a new idea, it is taken up by others and combined with suggestions of their own; and thus it becomes the source of further new ideas". This insight is often echoed by experts in the modern IT sector. Innovation thrives on proximity – one breakthrough can spark another, as nearby firms and entrepreneurs quickly learn of new ideas and build upon them. In practice, this means IT industries tend to cluster together. The most famous example is Silicon Valley, where a dense network of tech companies, investors, and talent feeds an ongoing cycle of innovation. In such "innovation clusters," knowledge and skills spill over between firms, and the success of one company can catalyze new ideas and startups next door. By clustering in one region, companies benefit from sharing a specialized labor pool, supporting industries, and a culture that nurtures entrepreneurship.

Why People Cluster Despite High Costs

Successful tech clusters often face significant downsides – notably, steep housing prices, traffic congestion, and other cost-of-living challenges. Paradoxically, companies and professionals continue to flock to these high-cost hubs. Why? Because the advantages of clustering outweigh the inconveniences. In today's knowledge-intensive industries, being in the same location facilitates rapid information exchange, collaborative problem-solving, and business deal-making that are hard to replicate from afar. As one report noted, even though the internet makes remote work easier, people and companies are increasingly clustering in a few key cities. They do so to "share information, generate ideas and cut deals," activities "still better done face to face." The rich professional networks and serendipitous encounters that occur in tech hubs can boost productivity and opportunities enough to justify the higher rents. In short, proximity fuels innovation, and many firms will pay a premium to be near the action.

Living and Socializing in Tech Hubs

These clusters aren't just about the companies – they shape the lifestyle of employees as well. Tech workers often choose to live near their workplaces, further reinforcing the cluster. In Silicon Valley's case, many professionals socialize and reside in the same geographic area as their companies. This creates a vibrant community where work and life intertwine. For example, despite Silicon Valley's suburban origins, parts of the Bay Area with more urban, walkable environments have become magnets for tech workers to live, mingle, and swap ideas. It's common to find entrepreneurs networking at local cafes or meetups after hours. The dense social networks in such regions mean that valuable information – from job opportunities to the latest technical insight – travels quickly by word of mouth. In other words, clustering isn't only about offices and factories; it's also about a concentration of people sharing both professional and personal lives. Being close to work not only shortens commute times, it also puts employees in the middle of the community where industry news, talent referrals, and new collaborations circulate informally every day.

The Irreplaceable Value of Face-to-Face Interaction

One might think that with modern communication technologies (email, video conferencing, etc.), physical clustering would matter less today. In reality, face-to-face interaction remains irreplaceable for cutting-edge industries. Digital tools enable routine collaboration across distance, but complex and trust-dependent activities still require in-person contact. For instance, entrepreneurs often find it easiest to secure venture capital by pitching their ideas in person, where they can read the room and build trust with investors. Brainstorming a new product or solving a tricky engineering problem is often more effective when the team can huddle together in the same room. Research has long noted the importance of "tacit knowledge" – the kind of nuanced know-how that transfers best through direct interaction. Indeed, studies find that advanced, knowledge-based industries depend especially on high population density because chance encounters and close networks speed up the spread of ideas . Silicon Valley exemplifies this: despite being the heart of the digital revolution, it thrives on personal connections – from tech meetups to hallway chats – that spark new ventures. In short, modern technology has not eliminated the need for clustering; if anything, it has highlighted the continuing value of face-to-face connections in spurring innovation.

Policies to Foster New "Silicon Valleys"

Given the evident benefits of IT clusters, governments around the world – from China to Japan – have tried to cultivate their own tech hubs. They do this by offering attractive policies to draw companies and talent. For example, Beijing's tech ecosystem benefits from substantial government support: authorities provide financial incentives for startups, tax breaks, R&D funding, and even housing subsidies up to 1 million RMB to lure skilled workers. Japan, likewise, has implemented national initiatives (such as the "Knowledge Cluster" programs) to encourage companies to set up in certain cities and collaborate with local universities. The idea is that if you seed a region with enough firms and research centers – and make it enticing for top engineers and scientists to move there – an innovative cluster will eventually blossom.

However, experience shows that two ingredients are especially crucial. First is scale: a critical mass of companies, suppliers, investors, and service providers needs to be reached for the cluster to become self-sustaining. Successful innovation hotspots tend to have high population density and a large number of interconnected players, which creates a fertile environment for new ideas. The second is talent quality: a deep pool of highly educated, skilled people is indispensable. Thriving tech centers almost always boast world-class universities or research institutes and a workforce with advanced degrees and expertise. In other words, a big cluster alone isn't enough unless it's rich in human capital. Open immigration policies and quality-of-life factors also help; places that attract the brightest minds globally will have an edge.

Governments have learned that creating the next Silicon Valley is not as simple as building offices or offering tax holidays – it requires nurturing an entire ecosystem. China, India, and other countries have built giant tech parks and "innovation zones," coupling infrastructure with incentives to achieve scale. At the same time, they fund education, encourage international partnerships, or even offer special visas to ensure a pipeline of top talent. These strategies underline the same two points mentioned above: achieve a large scale and attract high-quality talent. When done right, the result can be seen in places like the Shenzhen–Guangzhou region, which has grown into a massive IT and electronics cluster rivaling Silicon Valley, thanks in part to supportive policies and abundant skilled labor. Ultimately, the cluster effect is powerful but difficult to engineer from scratch – it emerges when the right pieces come together, enabling innovation to feed on itself.

Sources

Recent analyses of innovation clusters and urban economics, including insights from Alfred Marshall and modern studies of Silicon Valley.

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